v. Majority of Government Directors

Being in possession of a majority of share capital, the Government has authority to appoint majority of directors, on the Board of Directors of a government company.

vi. Own Staff

A Government company has its own staff; except Government officials who are sent to it on deputation. Its employees are not governed by civil service rules.

vii. Free from Procedural Controls

A Government company is free from budgetary, accounting and audit controls, applicable to Government undertakings.

viii. Accountability to the Parliament/ State Legislature

The Annual Report of a Government company is placed before the Parliament or the State Legislature.

9.06 Advantages and Disadvantages

Advantages

i. Easy Formation

A Government company can be easily formed under the Companies, Act, just by an executive decision of the government.

ii. Internal Autonomy

A government company can manage its affairs independently. It is relatively free from ministerial control and political interference, in its day-to-day functioning.

iii. Private Participation

Through Government company device, the government can avail of the management skills, technical know-how and expertise of the private sector and foreign countries. For example, the Hindustan Steel Limited has obtained technical and financial assistance from the U.S.S.R., West Germany and the U.K. for its steel plants at Bhilai, Rourkela and Durgapur.

iv. Easy to Alter

Objectives and powers of the Government Company can be changed by simply altering the Memorandum of Association of the company, without seeking the approval of the Parliament.

v. Discipline

The Government Company is subject to provisions of the Companies Act; which keeps the management of the company active, alert and disciplined.

vi. Professional Management

A Government company can employ professionally qualified managers; because it has its own personnel policies.

vii. Public Accountability

The Annual Report of a Government company is presented to the Parliament/ State Legislature. These reports can be discussed and debated there.

Disadvantages

i. Board of Directors Packed with 'Yes-Men'

On the Board of Directors of a government company, there are Government appointed directors (Government being the major shareholder); who are 'yes-men' of the Government. They are unable to run the company, in a businesslike manner.

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